



ORIENT FINANCE PLC

Unaudited Interim Financial Statements
For the Three Months Ended 30 June 2021

ORIENT FINANCE PLC
INCOME STATEMENT

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For the quarter ended 30th June	2021 Rs.	2020 Rs.
Income	638,508,253	565,345,739
Interest income	596,430,306	534,420,001
Interest expenses	(266,880,775)	(371,905,673)
Net interest income	329,549,532	162,514,328
Fee and commission income	21,526,040	25,167,508
Other operating income	20,551,906	5,758,230
Total operating income	371,627,478	193,440,065
Impairment charges for loans and receivables to customers	(35,209,888)	(44,241,211)
Net operating income	336,417,590	149,198,855
Operating expenses		
Personnel expenses	(112,602,525)	(105,515,000)
Depreciation and amortization	(13,496,670)	(15,620,699)
Other operating expenses	(133,270,862)	(77,451,056)
Operating profit/(loss) before Value Added Tax and NBT	77,047,534	(49,387,901)
Value Added Tax and NBT on financial services	(17,168,833)	(1,824,713)
Profit /(loss) before income tax	59,878,701	(51,212,614)
Income tax expense	-	-
Profit/(loss) for the period	59,878,701	(51,212,614)
Other comprehensive income/(expenses)		
Change in fair value of financial assets at fair value through other comprehensive income	3,912,408	0
Total comprehensive income/(expenses) for the period net of tax	63,791,109	(51,212,614)
Basic earnings per share (Rs.)	0.28	(0.28)
Diluted earnings per share (Rs.)	0.28	(0.28)

Figures in brackets indicate deductions.

Colombo

13th August, 2021

ORIENT FINANCE PLC
STATEMENT OF FINANCIAL POSITION

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As At	30th June 2021 Rs.	31st March 2021 Rs.
ASSETS		
Cash and cash equivalents	243,563,107	225,161,509
Financial assets - fair value through other comprehensive income	833,741,496	849,632,814
Loans and receivables	11,605,219,200	11,447,030,340
Investments with banks and other financial institutions	232,176,332	31,684,600
Other assets	291,841,470	269,749,720
Real estate stock	25,014,518	24,764,518
Deferred tax asset	370,887,353	370,832,054
Goodwill	564,545,746	564,545,746
Brand value	235,880,000	235,880,000
Intangible assets	50,664,119	50,664,120
Property, plant and equipment	56,202,744	61,805,370
Right-of-use-assets	129,167,820	129,167,820
Investment properties	628,000,002	628,000,002
Total assets	15,266,903,907	14,888,918,620
LIABILITIES		
Due to banks - bank overdrafts	163,591,341	79,180,458
Deposits from customers	8,838,368,356	8,692,940,933
Interest bearing borrowings	2,549,430,738	2,650,800,328
Right-of-use of Liability	104,375,186	104,375,186
Other Liability	615,659,936	434,886,967
Retirement benefit obligations	44,757,232	39,804,738
Total liabilities	12,316,182,789	12,001,988,610
EQUITY		
Stated capital	2,431,879,039	2,431,879,039
Statutory reserve fund	330,437,030	330,437,030
Revaluation reserve	141,120,773	141,120,773
Retained earnings	47,284,277	(16,506,832)
Total equity	2,950,721,119	2,886,930,010
Total equity and liabilities	15,266,903,907	14,888,918,620
Net assets per share	13.98	13.68

Figures in brackets indicate deductions.

The financial statements are in compliance with the requirements of the Companies Act No.07 of 2007.

Sgd
Sanjeeva Jayasinghe
Head of Finance

Sgd
K.M.M. Jabir
Chief Executive Officer/Director

The Board of Directors is responsible for the preparation and presentation of these financial statements.

Approved and signed for and on behalf of the Board.

Sgd
Prakash Schaffter
Director

Sgd
Ramesh Schaffter
Director

Colombo
13 th August, 2021

ORIENT FINANCE PLC
STATEMENT OF CHANGES IN EQUITY

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For the period ended 30th June

	Stated Capital Rs.	Statutory reserve fund Rs.	Revaluation reserve Rs.	Retained earnings Rs.	Total Rs.
Balance as at 01st April, 2020	2,431,879,039	311,080,742	141,120,773	(173,870,945)	2,710,209,609
Profit/(Loss) for the year	-	-	-	193,562,888	193,562,888
Other comprehensive income (expense) net of taxes	-	-	-	(16,842,487)	(16,842,487)
Transfer to statutory reserve		19,356,288		(19,356,288)	-
Balance as at 31st March, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Balance as at 01st April, 2021	2,431,879,039	330,437,030	141,120,773	(16,506,832)	2,886,930,010
Profit/(Loss) for the quarter	-	-	-	59,878,701	59,878,701
Other comprehensive income (expense) net of taxes	-	-	-	3,912,408	3,912,408
Balance as at 30th June 2021	2,431,879,039	330,437,030	141,120,773	47,284,277	2,950,721,119

Figures in brackets indicate deductions.

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13 th August, 2021

ORIENT FINANCE PLC
STATEMENT OF CASH FLOWS

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For the period ended 30th June	2021 Rs.	2020 Rs.
Cash flows from operating activities		
Profit/(loss) before income tax expense	59,878,701	(51,212,614)
Adjustment for:		
Depreciation/amortization	13,496,670	8,325,000
Profit on disposal of property, plant and equipment	(101,000)	(14,134)
Impairment charges for loans and receivables to customers	35,209,888	44,241,211
Finance expenses	266,880,775	371,905,673
Investment income	(10,606,674)	(15,613,172)
Provision for gratuity	5,055,000	3,573,049
Operating profit/(Loss) before working capital changes	369,813,360	363,029,726
Change in loans and receivables to customers	(193,398,748)	452,285,368
Change in other assets	(22,091,750)	242,830
Change in deposits from customers	187,214,562	(304,659,703)
Change in other liabilities	85,675,766	(283,093,437)
	57,399,830	227,804,784
Rent Paid	(21,166,928)	(13,899,324)
Interest paid	(202,513,505)	(311,406,244)
Gratuity paid	(1,230,145)	(6,349,079)
Net cash from/(used in) operating activities	202,302,612	(103,849,864)
Cash flows from investing activities		
Acquisition of property, plant and equipment and intangible assets	5,602,627	(5,230,077)
Proceeds from sale of property, plant and equipment	-	36,165
Net change in available for sale financial assets	15,891,318	389,886,964
Net change in investments with bank and other financial institutions	(200,491,732)	(1,008,825)
Investment income received	10,606,674	32,809,122
Net cash generated from/(used in) investing activities	(168,391,114)	416,493,348
Cash flows from financing activities		
Interest bearing borrowings obtained	1,025,000,000	1,181,500,000
Interest Paid on Borrowings	(1,124,920,782)	(1,180,449,223)
Interest paid on debentures		(95,642,503)
Net cash generated from/(used in) financing activities	(99,920,782)	(94,591,726)
Net change in cash and cash equivalents	(66,009,284)	218,051,759
Cash and cash equivalents at the beginning of the period	145,981,051	(194,895,886)
Cash and cash equivalents at the end of the Quarter (Note A)	79,971,767	23,155,872
Analysis of cash and cash equivalents at the end of the period		
Cash in hand	131,958,378	100,039,525
Cash at bank	111,604,729	186,508,946
Bank overdrafts - secured	(163,591,341)	(263,392,599)
	79,971,766	23,155,872

Figures in brackets indicate deductions.

FINANCIAL REPORTING BY SEGMENTS

Business Segments

The company has four reportable segments, as described below, which are the company's strategic divisions. The strategic divisions offer different products and services, which are managed separately because they require different technology and marketing strategies. For each of the strategic divisions, the company's management reviews internal management reports on at least a monthly basis. The following summary describes the operations in each of the company's reportable segments.

- a) Hire purchase, finance leasing- Provision of hire purchase and leasing facilities to customers
- b) Loans - Provision of Loan facilities to customers
- c) Factoring - Debt factoring
- Gold Loan - Provision of loans against gold

For the period ended 30th June	Finance leases, Hire purchases		Loans		Factoring		Gold Loan		Others		Total	
	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.	2021 Rs.	2020 Rs.
Interest income	446,523,398	394,565,680	34,295,209	34,764,040	1,271,632	10,161,792	103,641,205	94,928,490	10,606,674	0	596,338,118	534,420,001
Fee and commission income	9,161,261	21,995,991	2,162,421	1,108,746	1,798,724	1,230,180		832,590			13,122,406	25,167,508
Other income	17,570,888	4,485,114	4,147,426	613,970		198,098		461,048	7,329,415	5,425,123	29,047,729	5,758,230
Total segmental income	473,255,546	421,046,785	40,605,056	36,486,756	3,070,356	11,590,070	103,641,205	96,222,128	17,936,088	5,425,123	638,508,253	565,345,738
Less: Interest expense	(191,005,124)	(280,679,196)	(21,048,698)	(39,654,339)	(2,494,031)	(12,794,536)	(40,453,750)	(38,777,602)	(11,879,171)	(2,351,451)	(266,880,775)	(371,905,673)
Segmental results	282,250,422	140,367,588	19,556,358	(3,167,583)	576,325	(1,204,466)	63,187,455	57,444,526	6,056,917	3,073,672	371,627,478	193,440,065
Depreciation and amortization	(10,003,588)	(6,484,214)	(858,302)	(887,627)	(64,901)	(286,394)	(2,190,749)	(666,545)	(379,130)	(125,558)	(13,496,670)	(8,324,781)
Impairment charge	(35,209,888)	(44,240,776)		0	0	(434)	0	0			(35,209,888)	(44,241,210)
Other Expenses	(194,964,104)	(132,645,274)	(16,727,809)	(20,552,225)	(1,264,875)	(6,631,208)	(42,696,414)	(30,433,266)	(7,389,017)	(4,125,877)	(263,042,220)	(190,261,974)
Income tax	-	(1,824,713)	-	-	-	-	-	-			0	(1,824,713)
Profit/(loss) after tax	42,072,842	(44,827,389)	1,970,247	(24,607,436)	(753,451)	(8,122,503)	18,300,293	26,344,715	(1,711,229)	(1,177,763)	59,878,701	(51,212,614)
Segmental assets	7,074,778,791	7,675,470,000	2,185,883,565	2,508,574,000	65,265,712	261,994,125	2,293,125,642	1,616,061,000	3,647,850,198	2,942,407,570	15,266,903,907	15,004,506,695
Segmental liabilities	5,707,396,163	6,490,562,483	1,763,405,449	1,316,059,874	52,651,438	424,628,827	1,849,920,241	1,188,267,806	2,942,809,498	2,925,789,126	12,316,182,789	12,345,308,116

NOTES TO THE FINANCIAL STATEMENTS

- 1 These Interim Financial Statements of the Company have been prepared based on the Sri Lanka Accounting Standards that came into effect from January 01, 2012 (SLFRS/LKAS). There were no changes to the Accounting Policies and methods of computation since the publication of the Audited Financial Statements for the Year Ended 31 March 2021. Further, these Interim Financial Statements have been prepared in compliance with the requirements of the Sri Lanka Accounting Standard 34 (LKAS 34) on Interim Financial Reporting.
- 2 There are no material events that took place after the reporting date that require adjustments to or disclosure in the Financial Statements.
- 3 According to the CBSL circular No.06 of 2021 company applied only up to 10.63% p.a. interest rate for the third moratorium granted contracts and as a result of that Rs.8,755,125.00 income had foregone for the period ended 30 June 2021.
- 4 All known expenses have been provided for in these Financial Statements.
- 5 There are no significant changes in the nature of the Contingent Assets or Contingent Liabilities which were disclosed in the Audited Financial Statements for the year ended 31st March 2021.

Ordinary Share Information

The Company's Ordinary Shares are listed on the Diri Savi Board of the Colombo Stock Exchange (CSE).

<u>Stated Capital</u>		30-Jun-21	30-Jun-20
Value of Ordinary Shares (Rs.)		2,431,879,039	2,431,879,039
No. of Ordinary Shares		211,101,155	211,101,155
Share Price During the Period		For the Quarter Ended 30-Jun-21	For the Quarter Ended 30-Jun-20
Highest	(Rs)	16.50	11.00
Lowest	(Rs)	12.00	5.00
Closing	(Rs)	15.70	9.90

NOTES TO THE FINANCIAL STATEMENTS

Shareholders as at 30th June 2021

	Name	No. of Shares	%
1	Janashakthi PLC	95,455,437	45.22
2	Seylan Bank PLC/Janashakthi PLC (collateral)	90,000,000	42.63
3	Commercial Bank of Ceylon PLC/Janashakthi PLC	10,555,057	5.00
4	First capital PLC	2,138,299	1.01
5	Sandwave limited	1,000,000	0.47
6	Hatton National Bank PLC/Sashimaal ruhash fernando	808,681	0.38
7	Mr. L.P. Mendis	566,495	0.27
8	Mr. R.A.B.K. Kumara	500,000	0.24
9	Hatton National Bank PLC/Mushtaq mohamed fuad	402,557	0.19
10	Mr. N.I.S. Fernando	367,677	0.17
11	Mrs. I.P.I.L. Gunathilaka	363,571	0.17
12	Commercial credit and finance PLC	330,000	0.16
13	Peoples leasing & finance PLC/I.P.Hapangama	321,488	0.15
14	Mr. A.S.A. Fernando	316,100	0.15
15	Peoples leasing & finance PLC/Mr.D.M.P.Disanayake	264,868	0.13
16	Seylan Bank PLC/mohamed mushtaq fuad	241,592	0.11
17	Seylan Bank PLC/karagoda loku gamage udayananda	227,965	0.11
18	DFCC Bank PLC/G.A.C. De silva	223,970	0.11
19	Mrs. V. Saraswathi	216,100	0.10
20	Mr. M.k. De livera	207,628	0.10
	Others	6,593,670	3.12
	Total	211,101,155	100.00

Directors' Shareholding as at 30th June 2021

	Name of the Director	No. of Shares	%
1	Mr. Prakash anand Schaffter	10	-
2	Mr. K. M. A. T. B. Tittawella	-	-
3	Ms. Minette D. A. Perera	-	-
4	Ms. Indrani Goonesekara	-	-
5	Mr. Ramesh Schaffter	10	-
6	Mr. Nawalage Sriyan Suresh cooray	-	-
7	Mr. Kather Meerasahim Mohamed Jabir	-	-
8	Ratnayake Mudiyansele Darshana Joseph Ratnayake	-	-
	Total	20	

Director/CEO's Shareholding as at 30th June 2021

Mr.K.M.M.Jabir	-	-
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Public Holding as at 30th June 2021

Number of Public Shareholders	12,952,282
Public Shareholding Percentage	824
Float Adjusted market capitalization (Rs)	6.14%
	203,497,291

The CSE granted an extension in terms of section 7.13.3 (iii) of the Listing Rules to comply with the minimum public holding requirement until 04th March 2021. Due to the above non-compliance, currently the securities of the Company have been transferred to the Second Board with effect from 12th March 2021 at the expiration of extensions granted. Entities that are not compliant only with the minimum public holding requirement are listed on the Second Board.